Pinnacle 05 2024

Originator: Spandana Sphoorty Financial Limited

August 29, 2024

Instrument#	Amount Rated& (₹ crore)	Rating[1]	Rating Action
Series A1 PTCs	87.29	CARE AA- (SO)	Final Rating Assigned

#The pass-through certificates (PTCs) are rated based on the timely payment of interest and the payment of principal on or before the final legal maturity.
& After July 2024 payout
Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) had assigned the rating of 'Provisional CARE AA- (SO)' [pronounced as 'Double A Minus (Structured Obligation)'] to the Series A1 PTCs, issued by Pinnacle 05 2024, backed by a pool of microfinance loan receivables originated by Spandana Sphoorty Financial Limited (SSFL).

The rating is now confirmed and 'CARE AA- (SO)' [pronounced as 'Double A Minus (Structured Obligation)'] has been assigned to Series A1 PTCs.

The above rating was final based on the below-mentioned documents submitted to the satisfaction of CARE Ratings:
a) Account agreement
b) Assignment agreement
c) Servicing agreement
d) Trust deed
e) Power of attorney
f) Information memorandum
g) Legal opinion from an independent legal counsel
h) KYC audit report.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:

- Delinquencies (90+ days past due [DPD] as % of initial principal outstanding [POS]) of <2% and the sustained high collection efficiency (cumulative collection efficiency of >98%).
- Build-up of cash collateral (CC) of more than 2x the initial proposed (10% or more of the balance POS).

Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD as % of initial POS) of >5% and the sustained lower collection efficiency (cumulative collection efficiency of <90%).
- Deterioration in the credit profile of the originator.
- Any utilisation of CC.
- Non-adherence to key transaction terms envisaged at the time of the rating.

Analytical approach

The final rating is based on conformity of the executed transaction documents with the proposed structure of the transaction. The rating also factors inter alia, analysis of the underlying pool of receivables, expected performance of the pool, performance of originator's portfolio, and transaction structure including the proposed credit enhancement.

[1]Complete definition of the ratings assigned are available at www.careedge.in and other CARE Ratings Ltd.'s publications

Detailed description of key rating drivers

Ratings assigned are finalised based on the structure provided to CARE Ratings by SSFL, the originator. Ratings have been confirmed after copies of legal documents executed in accordance with the structure, a due-diligence audit report by an external auditor, and an independent legal opinion was furnished by the originator (SSFL), to the satisfaction of CARE Ratings.

Key strengths:

- The robustness of transaction structure and well-defined payment mechanism.
- Credit enhancement comprising CC, subordinated over collateral (OC), and excess interest spread (EIS).
- No overdue contracts as on the pool cut-off date; all contracts are ever current as on the pool cut-off date.
- Underwriting policies and collection capabilities of SSFL.
- Moderate weighted average seasoning (based on EMIs paid) of around six months with amortisation of around 22% of initial pool.

Key weakness:

- Weak borrower profile as this segment is susceptible to socio-political interference and other external shocks.

Liquidity: Strong

The inherent liquidity in the structure is strong. The interest payouts for Series A1 PTCs are promised monthly, while the principal of Series A1 PTCs is promised to be paid by final legal maturity. In case of delinquency, payouts are expected to be supported by credit enhancement consisting of CC, principal subordination in the form of OC, and EIS.

Key rating assumptions

CARE Ratings has analysed the transaction to assess whether the CE is sufficient to cover the shortfalls. Since the transaction is sensitive to the credit quality of the underlying pool, CARE Ratings has analysed the performance of static pools provided by the originator and the overall portfolio performance of the originator. Considering the borrower profile, nature of the loan, pool characteristics, and portfolio performance, CARE Ratings has taken the average shortfall at 7.00%-8.00% of the principal outstanding. The base case shortfalls were stressed and other key factors, such as the timing of shortfalls, the recovery assumptions, and the time to recovery. The pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayment between 0.5% and 1.0%.

Applicable criteria

Policy on Default Recognition
CARE Ratings' methodology for asset/mortgage-backed securitisation

About the company and industry

Industry classification

Macro-economic Indicator	Sector	Industry	Basic Industry
Financial services	Financial services	Finance	Securitisation

SSFL was incorporated on March 10, 2003, under the provisions of the Companies Act, 1956. It was registered as on non-deposit accepting non-banking finance company (NBFC) with the Reserve Bank of India (RBI) and was classified as an NBFC-microfinance institution (MFI) effective April 13, 2015. The company went into CDR, post the AP crisis in 2010 and exited CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds around 15% stake in the company and is a member of the board but does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%), and Valiant Mauritius Partners FDI Ltd. (holding 9.46%). The new CEO, Shalabh Saxena, and the CFO, Ashish, have prior experience in Bharat Financial. The positions of CTO, CBO and CXO were also filled thereafter by Kedaara Capital.

SSFL has presence in 14 states with 1,533 branches. The portfolio is moderately diversified, as Madhya Pradesh constituted the maximum of 21.31%, while the top four states constituted 76.06% of the portfolio. SSFL is focused towards its micro-credit business and follows the joint-liability group (JLG) model for risk mitigation. SSFL's business is targeted towards under-privileged women. Each centre typically manages one to three groups, with each group consisting of 8 to 12 members.

Key financial indicators - SSFL

Particulars	FY22 (A)	FY23 (A)	FY24 (A)
Total income (₹ crore)	1,392	1,394	2,407
PAT (₹ crore)	47	12	468
Total assets (₹ crore)	5,264	9,186	12,870
Net NPA (%)	6.78	0.58	0.29
ROTA (%)	0.68	0.15	4.24

A: Audited; Note: these are latest available financial results.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Nil

Rating history for last three years: Annexure-2

Covenants of rated instruments/facilities: Annexure-3

Complexity level of instruments: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned along with Rating Outlook
Pass Through Certificates	-	31-05-2024	9.85	15-01-2026	87.29	CARE AA- (SO)

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022
1	Pass Through Certificates	LT	87.29	CARE AA- (SO)	1)Provisional CARE AA- (SO) (03-Jun-24)	-	-	-

LT- Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass-through certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on complexity levels of rated instruments: CARE Ratings has classified instruments rated by it on the basis of complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

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About us:
Established in 1993, CARE Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the RBI. With an equitable position in the Indian capital market, CARE Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CARE Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CARE Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit.

For the detailed Rationale Report and subscription information, please visit www.careedge.in